

MERTON DAILY BRIEF - Wednesday, May 27, 2026

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HEADLINE OF THE DAY

*Oil crumbles under pressure from potential US-Iran peace deal.** WTI corrects nearly -7% to \$89.63 (-9% from the week's peak) despite the ongoing war. Hopes for a Strait of Hormuz reopening - pushed by Iranian state television and partially confirmed by Rubio - dominate sentiment. US stocks flirt with records (S&P 500 at 7,512, Dow +200 pts) but the tech rally pauses. Kevin Warsh is set to be sworn in as the new Fed Chair on Friday, in a context where markets are starting to price in a rate hike. Gold corrects (-1.3%) despite geopolitical risk - the strong dollar and high real rates prevail.

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GLOBAL SENTIMENT

Indicator	Level	Change (5d)	Signal
VIX	16.76	+0.00%	? Low - complacency
DXY	99.25	+0.06%	? Neutral
S&P 500	7,512	+2.16%	? Bullish
NASDAQ	26,616	+2.88%	? Bullish
Dow Futures	50,723	+0.35%	?
Russell 2000	2,927	+0.07%	?
Gold	\$4,482	-1.27%	Correcting
Silver	\$74.84	-2.06%	Under pressure
WTI	\$89.63	-6.97%	Crash
Brent	\$93.15	-9.19%	Crash
Copper	\$6.32	+0.97%	? Resilient
BTC	\$74,808	-2.43%	
US 10Y	4.485%	-2.20%	? Falling
US 30Y	5.018%	-1.84%	?
US 5Y	4.177%	-1.88%	?
EUR/USD	1.1628	+0.03%	? Stable
GBP/USD	1.3421	-0.10%	?
USD/JPY	159.56	+0.42%	Weak yen
USD/CHF	0.7871	+0.03%	?

* Reading:** The market is in "selective risk-on" mode. Oil collapses on Iran peace hopes, pushing US rates lower (good for equities) but weighing on gold (which loses its safe-haven status as long as real rates remain elevated). VIX at 16.76 signals remarkable complacency - the market is pricing in virtually no tail risk. Copper holds up (+1%), suggesting the market still believes in global growth. BTC corrects after its rally but remains in a healthy consolidation zone above 70K.

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MACRO - WHAT MOVED

US

Kevin Warsh ? new Fed Chair. The Senate confirmed Kevin Warsh as the next Federal Reserve Chair. He will be sworn in on Friday. Warsh is perceived as more dovish than Powell but arrives in a complicated inflationary context. Trump gets "his man" - but Warsh has historically been more hawkish than what Trump hopes for. The tension between the White House and the Fed is just beginning.

Rising inflation - markets pricing a rate hike. Wholesale PPI jumped +6% in April

(year-over-year), the biggest increase since 2022. Forecasters project a 6% inflation rate in Q2. Markets are starting to price in a rate hike in July. Yardeni says the Fed will have to raise rates to appease "bond vigilantes." The bond market believes the Fed is behind the curve.

Consumer sentiment at a record low. The consumer confidence index hit a fresh low in May, fueled by inflation fears linked to the Iran war. Americans are feeling the pinch heading into the holiday weekend.

Housing under pressure. MBA 30-year mortgage rates rise to 6.65% (vs 6.56% prior). Mortgage applications fall -8.5% (WoW). The refinance index collapses to 753.7 from 920.2. The housing market remains frozen by elevated rates.

Richmond Fed Manufacturing surprises to the upside. The Richmond manufacturing index jumps from 3 to 13 (consensus 4). Services index surges from 9 to 14. Manufacturing shipments go from -2 to +16. An unexpected positive signal for US industry.

Weekly ADP Employment at 35.75K vs 40.80K prior - slight labor market cooling, consistent with Danielle DiMartino Booth's warnings about labor market strain.

Redbook retail sales at +9.0% YoY vs +8.1% - the US consumer continues to spend despite pessimism.

EU

ECB warns Trump. The ECB Vice President warned that Trump risks triggering a financial crisis. The ECB says it "will do what is necessary" to tame inflation, according to the Bank of France governor. The message is clear: the ECB will not have its policy dictated.

UK energy bills to rise 13%. British households face a "deeply unwelcome" increase in energy bills from July, reaching a two-year high. The Iran war energy shock is spreading to Europe.

German ZEW Expectations at -11.1 vs -30.3 prior - significant improvement in German economic sentiment, but still in negative territory.

French Consumer Confidence at 82 vs 83 consensus, 84 prior - slight deterioration.

EU pushes for "tech sovereignty." The EU is actively seeking to reduce its dependence on the US in tech. A structural theme benefiting European semiconductor and defense companies.

BP in crisis. BP board chairman Albert Manifold was fired without explanation. BP shares fall. A "bullying" scandal within the board adds to the instability.

China

Chinese industrial profits surge: +18.2% YTD (April) vs +15.5% prior. Another report shows +24.7% in April - the fastest gain in over two years. China shows signs of industrial resilience despite trade tensions.

Putin-Xi talks revive stalled gas pipeline. The discussions have revived a blocked gas pipeline, rattling energy markets. China is diversifying its energy supply sources.

Rare Earth: China retains its grip. Despite Trump-Xi talks, China's hold on rare earths remains intact. A major geopolitical asset.

USD/CNY at 6.7783 (-0.33%) - the yuan strengthens slightly, a sign of relative confidence.

United Kingdom

UK spy chief warns on Russia and China. The MI6 chief warns that time is running out to counter Russian and Chinese threats. The UK defense context is intensifying.

UK-Gulf trade deal called "monumental." The UK-Gulf trade agreement is a diplomatic success, according to Bahrain's industry minister.

Traders now expect only one BOE rate hike this year. Markets are reducing their BOE rate hike expectations, now favoring only one 25bps move in 2026.

EM

RBNZ holds rate at 2.25% - in line with expectations. The Reserve Bank of New Zealand remains on hold.

Brazil Mid-Month CPI at +4.64% YoY vs +4.55% consensus - slightly above expectations, maintaining pressure on the central bank.

India hikes gold and silver taxes. Modi increases bullion import duties to protect the rupee. India, the world's 2nd largest gold consumer, is trying to curb demand.

Milei eases grip on Argentine peso as reserves hit a seven-year high. A positive signal for Argentina.

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GEOPOLITICS

Hot

Iran - Peace negotiations ongoing but chaotic. Iranian state television broadcast details of a peace proposal to reopen the Strait of Hormuz, but the White House denied reports of a draft deal. Trump says Iran is "negotiating on fumes" and is "not satisfied yet." Rubio is giving talks "every chance to succeed." Iranian ultra-hardliners are lashing out at negotiators. Traders are skeptical about the timeline for reopening the strait.

Oil in chaos. WTI fell nearly 7% in the day. UBS raises its Brent forecast to \$105 but does not yet see "demand destruction." Traffic in the Strait of Hormuz has slowed to a crawl after supertankers exited. Iran's threat to charge fees for passage rattles oil markets.

Russia strikes Ukraine with hypersonic missile in one of the war's biggest attacks. Russia warns US citizens to leave Kyiv. Russia threatens new strikes on Kyiv while urging Americans to leave.

To Watch

Kevin Warsh at the Fed - the independence test. Warsh is sworn in Friday. The question: will he stand up to Trump on rate cuts, or will he give in to pressure? Markets are pricing a rate hike despite Trump's wishes. The internal "family fight" at the Fed begins.

Nvidia announces \$150 billion in spending. Taiwanese chip stocks climb. AI continues to reshuffle the global stock market hierarchy. Micron hits a new milestone. SK Hynix has surged 250% this year.

UAE leaves OPEC. The United Arab Emirates is withdrawing from OPEC - a geopolitical earthquake reshaping the global energy map.

Trump-Xi: gas pipeline and rare earths. Bilateral talks are progressing on energy but not on rare earths. China retains its strategic leverage.

BIS and central banks test cross-border blockchain payments. A cross-border blockchain prototype is in development - a signal of central bank interest in the technology.

Positive

US stocks at records. Dow gains 200 points, S&P 500 and NASDAQ flirt with new highs. The rally continues despite geopolitical tensions.

US rates falling. The 10Y drops to 4.485%, the 5Y to 4.177%. Falling rates partially offset the oil shock.

Resilient Chinese industry. Industrial profits surge +18-24%, a signal of underlying growth.

EU tech sovereignty. The EU is accelerating its technological independence - an opportunity for European companies.

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FX FOCUS

Pair	Level	Change	Signal
EUR/USD	1.1628	+0.03%	? Stable
GBP/USD	1.3421	-0.10%	? Under pressure

USD/JPY	159.56	+0.42%	Weak yen
USD/CHF	0.7871	+0.03%	?
USD/CNY	6.7783	-0.33%	? Strong yuan
USD/KRW	1,500.45	+0.05%	?
USD/INR	95.68	-0.88%	? Strong rupee

* Analysis:** FX is in "wait and see" mode. EUR/USD stagnates at 1.16 - neither the hawkish ECB nor US political chaos pushes the pair. The yen remains fragile at 159.56 despite verbal interventions. The strength of the yuan (6.78) and rupee (95.68) reflects positive EM flows. The DXY at 99.25 is remarkably stable - the market doesn't yet know which direction to bet on the dollar.

* Pair to watch:** `USD/JPY` - At 159.56, we are approaching potential BOJ intervention levels. If yen breaks 160, Japanese authorities may act. Catalyst: BOJ Governor Ueda speaks today. Invalidation: move back below 158.

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COMMODITIES

Oil: WTI \$89.63 (-6.97%) | Brent \$93.15 (-9.19%)

Oil is collapsing. In one week, WTI has fallen nearly \$10 (from ~\$98 to \$89). The main reason: hope for a US-Iran peace deal that would reopen the Strait of Hormuz. Iranian state television broadcast details of a peace proposal, Rubio blessed the talks, and traders sold oil aggressively. However, the White House denied the existence of a draft deal, creating extreme volatility. UBS raises its Brent forecast to \$105 - they don't see demand destruction at these levels. Traffic in the strait has slowed to a crawl. Iran threatens to charge transit fees. Oil remains a nerve-wracking market.

Gold: \$4,482 (-1.27%)

Gold is correcting despite geopolitical risk. Apparent paradox: the Iran war should support gold, but the strong dollar and elevated real rates prevail. Gold has fallen from ~\$4,540 to ~\$4,480 in 5 days. The market pricing a Fed rate hike reduces gold's appeal (it generates no yield). India raises gold import taxes to protect the rupee - this reduces physical demand. However, central banks continue to accumulate. Key support at \$4,400.

Silver: \$74.84 (-2.06%) | Copper: \$6.32 (+0.97%)

Silver underperforms gold, correcting -2%. The gold/silver ratio deteriorates. In contrast, copper holds up remarkably well (+1%) - "Dr. Copper" signals that global growth is not in danger. The copper/oil divergence is interesting: copper believes in recovery, oil fears supply.

Soft

No major moves reported. Grains remain in ranges. Russia threatens Kyiv but Ukrainian grain export routes are not directly impacted for now.

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TODAY'S CALENDAR

Wednesday, May 27, 2026

Time (CET)	Country	Event	Consensus	Previous	Impact
00:00		Eid al-Adha Holiday	-	-	?
01:00		BOJ Gov Ueda Speaks	-	-	
01:30		MI Leading Index (MoM) Apr	-0.1%	-0.1%	?
01:30		Construction Work Done (QoQ) Q	0.2%	0.2%	?
01:30		Monthly CPI Indicator (YoY) Apr	4.40%	4.60%	
02:00		Chinese Industrial Profit YTD	15.5%	15.5%	?
04:00		RBNZ Interest Rate Decision	2.25%	2.25%	
04:00		RBNZ Rate Statement	-	-	

04:00		RBNZ Press Conference	-	-	
14:30		French Consumer Confidence May		84	?
14:30		ECB Financial Stability Review		-	?
14:30		ZEW Expectations May	-	-30.3	?
16:00		German 30Y Bund Auction		3.620%	?
16:30		Fed Logan Speaks	-	-	?
19:00		MBA 30Y Mortgage Rate	-	6.56%	?
19:00		MBA Mortgage Applications (WoW)		-2.3%	?
20:00		Richmond Manufacturing Index M		3	?
20:00		Richmond Services Index May		9	?

This Week:

Thursday May 28: US GDP (2nd estimate Q1), Jobless Claims, Pending Home Sales, Fed Barr Speaks

Friday May 29: US PCE Core (Fed's preferred inflation measure), Personal Income/Spending, Chicago

PMI, Kevin Warsh sworn in as Fed Chair

Monday June 1: ISM Manufacturing PMI, Construction Spending

Tuesday June 2: JOLTS Job Openings, Factory Orders

Wednesday June 3: ISM Services PMI, ADP Employment

Thursday June 4: Initial Jobless Claims

Friday June 5: NFP (Non-Farm Payrolls) - the big one

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DEEP MACRO THEME OF THE DAY

*The paradox of gold in wartime: why the yellow metal doesn't shine despite Iran.**

Theory says gold rises when geopolitics deteriorate. But this week, gold corrects -1.3% while the Iran war rages. Why? Two more powerful forces dominate: the strong dollar and elevated real rates. The DXY at 99.25 and the 10Y at 4.48% make gold (which pays no coupon) less attractive. Markets are pricing a Fed rate hike - which is hawkish for gold.

But there's something deeper. The market is beginning to understand that the Iran war could paradoxically be **deflationary** in the medium term: if the Strait of Hormuz reopens and oil returns to \$70-80, cheaper energy will reduce global inflation. This is exactly what the oil market is anticipating with WTI at \$89 (-7% today).

The real risk for gold is not geopolitics - it's Fed credibility. If Warsh arrives and keeps rates high (despite Trump's wishes), gold will remain under pressure. But if Warsh gives in and cuts rates prematurely, gold will explode. The yellow metal is actually a bet on Fed independence.

The most important signal today: copper rises (+1%) while oil collapses. This means the market still believes in global growth - it's not pricing in a recession. A bullish signal for risk, bearish for traditional safe havens.

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CONSENSUS VS REALITY - THE ALPHA

What the market is pricing:

"The Fed will cut rates in 2026" ? WRONG. Markets are now pricing a **rate hike** in July after PPI at +6%. Inflation is not under control. Warsh or no Warsh, the Fed cannot cut with inflation at 6%.

"Iran will be resolved quickly" ? UNCERTAIN. Oil is pricing an imminent deal (-7%), but the White House has denied it. Iranian ultra-hardliners are opposed. The market is too optimistic on timing.

"Oil will stay above \$100" ? WRONG. At \$89 for WTI, the market is already pricing peace. If the deal materializes, we could see \$75-80. UBS at \$105 seems aggressive.

"Gold is a safe haven in wartime" ? PARTIALLY WRONG. Gold doesn't rise as long as real rates remain elevated. Gold's safe-haven paradigm is broken as long as the Fed is hawkish.

"US stocks will keep rising" ? TRUE (short term). VIX at 16.76, rates falling, oil collapsing -

everything is aligned for a rally. But Bank of America warns of a "summer correction."

"The yen will continue to weaken" ? RISKY. At 159.56, we are approaching BOJ intervention levels. The JPY carry trade is under pressure with BOJ normalization in the background.

"AI will carry everything" ? TRUE. Nvidia announces \$150B in spending, SK Hynix +250% this year, Micron rising. The AI theme remains the market's primary driver.

The alpha:

1. **Short Gold / Long Copper (pairs trade)** - Gold suffers from high rates and a strong dollar. Copper benefits from global growth and the energy transition. Buy the gold/copper ratio. Invalidation: Iran escalation that sends gold higher.
2. **Long USD/JPY toward 160** - The yen is oversold and the BOJ may intervene. If Ueda is hawkish today, the yen could temporarily strengthen. Entry: 159.50, Target: 161.00, Stop: 158.50. Invalidation: BOJ intervention.
3. **Short Oil on bounce to \$92-93** - Oil has fallen sharply on peace hopes. If the White House continues to deny (which it did today), oil could temporarily bounce to \$92-93 before resuming its decline. Entry on bounce, Target: \$85, Stop: \$96. Invalidation: Iran deal confirmed.
4. **Long Russell 2000 / Short S&P 500 (rotation trade)** - The Russell 2000 (+0.07%) underperforms the S&P (+2.16%). If rates fall (as the market anticipates with cheaper oil), small caps (more rate-sensitive) could outperform. Invalidation: major risk-off event.
5. **Long Nvidia / Semiconductors** - Nvidia announces \$150B in spending. The AI theme is far from over. SK Hynix +250% this year and "the rally may be only halfway done." Entry on pullback, Target: +15-20% over 3 months. Invalidation: major AI regulation.

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MERTON'S TAKE

We are in a **"selective risk-on with an inflationary undercurrent"** regime. It's a strange environment where stocks rise, oil collapses, gold corrects, and the market simultaneously prices both a rate hike AND a peace deal in the Middle East. Something has to give.

My conviction: **the market is underestimating inflation.** PPI at +6% is not an accident - it's the beginning of a new inflationary wave fueled by the Iran war (even if oil falls in the short term, logistics costs are rising), US tariffs, and de-globalization. The Fed cannot cut rates in this context, and Warsh - despite his dovish reputation - will be constrained by the data.

Trade of the week: **be long volatility (VIX calls) while staying long semiconductors.** VIX at 16.76 is ridiculously low for an environment with a Middle East war, a transitioning Fed, and NFP on Friday. If NFP surprises to the upside (which would strengthen the rate hike narrative), the VIX could surge to 22-25. Buy VIX calls at 3-4 weeks, strike 22-25.

Additionally, **oil at \$89 is a trap.** The market is pricing a peace deal too optimistically. The reality: even if a deal is signed, implementation will take weeks, and damage to Iranian oil infrastructure is not repairable overnight. Oil could bounce to \$95-100 before resuming its decline. Don't be too short oil here.

*Position: **Long semiconductors (NVDA, SMH), Long VIX calls (hedge), Neutral gold (wait for breakout above \$4,550 or breakdown below \$4,400), Short Brent on bounce toward \$95. Avoid the yen until BOJ clarity. Watch NFP on Friday**** - it will be next week's catalyst.

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SOURCES CONSULTED

Yahoo Finance API - Real-time market data (S&P 500, VIX, NASDAQ, Gold, Silver, WTI, Brent, Copper, BTC, EUR/USD, GBP/USD, USD/JPY, USD/CHF, US 10Y/30Y/5Y, DXY, USD/CNY, USD/KRW, USD/INR, Futures)
FT RSS (`ft.com/rss/home`, `ft.com/rss/markets`) - 37 headlines
Bloomberg RSS (`feeds.bloomberg.com/markets/news.rss`, `/economics/news.rss`) - 64 headlines
Bloomberg Politics RSS - 32 headlines
CNBC Headlines (World, Fed, Markets, Economy, Oil, Gold, Iran, Tech, Ukraine, China, Asia, Trade) -

~350 headlines

Investing.com Economic Calendar - Full week calendar

ZeroHedge - 25 headlines

Oilprice.com - 12 headlines

Polymarket API - 20 active markets

Trading Economics - Auth wall confirmed (not usable)

ForexFactory - Cloudflare challenge (not usable)